

Johnson Service Group plc (LSE:JSG)

Leveraged buyout analysis – maximum offer 140p · 20.2% IRR · 2.51x MoM

Independent transaction analysis · September 2026 · Raahul Ravichandran

SPONSOR THESIS

Acquire a business that has just completed a £200m capital programme, halt the growth investment and harvest the cash.

JSG has contracted recurring revenue, 94% customer retention in Workwear and £291m of net PP&E. Crawley processes at 50% of capacity; Wexford, Naas and Corsham are complete. A financial buyer would cut capex to replacement levels immediately – there is no case for building capacity that is already half empty. That alone releases roughly £29m a year. The company is also deliberately under-levered by board policy: covenant leverage of 0.95x against a three-times covenant. The constraint is public-market conservatism, not cash flow.

STRUCTURE

USES	SOURCES	
Equity purchase	£528.3m Term Loan B (3.0x)	£500.1m
Refinance debt	£188.6m Revolver (undrawn)	nil
Fees (2.5% of EV)	£17.9m Sponsor equity	£234.7m
Total	£734.8m Total	£734.8m

Entry at 140p – a 5% premium to 133p – implying £716.9m enterprise value and 4.30x LTM adjusted EBITDA of £166.7m. Debt at 8.5%, SONIA plus ~400bps. 100% cash sweep, 1% mandatory amortisation.

RETURNS

Opening debt FY26	£500.1m Exit EBITDA FY30	£192.2m
Closing debt FY30	£238.0m Exit multiple	4.30x
Debt repaid	52% Equity proceeds	£588.5m
	Money multiple	2.51x
	IRR	20.2%

Exit linked to entry – no multiple expansion. The returns bridge attributes £262.1m to debt paydown and £109.7m to EBITDA growth: 70% of value creation is deleveraging.

THE CONSTRAINT – EBITDA OVERSTATES DEBT CAPACITY

A 3.5x structure was tested first and failed to deleverage: interest consumed a third of EBITDA and the sweep repaid only 13% of debt over five years.

Entry leverage on EBITDA	3.00x
Entry leverage on EBITDA less capex	5.39x
FY26 interest cover on EBITDA	4.18x
FY26 cover on EBITDA less capex	2.37x
Exit leverage	1.24x

Approximately £74m of £170m EBITDA is rental stock replacement – linen and garments that wear out and must be repurchased. A cost of revenue, not discretionary investment. Genuine cash for debt service is nearer £97m, and a lender sizing against that lends roughly 3x, not 5x. Cover of 2.37x on the adjusted basis is the practical floor.

SENSITIVITY – IRR

Premium ↓ / Exit →	3.9x	4.1x	4.3x	4.5x	4.7x
0%	20%	21%	23%	25%	26%
5%	17%	19%	20%	22%	23%
11%	14%	16%	17%	19%	20%
15%	12%	14%	15%	17%	18%
20%	10%	12%	14%	15%	16%

Returns hold at 17% with half a turn of compression at the base premium. Entry price and exit environment matter roughly equally.

CONCLUSION

The deal works at 140p and does not work at a price a public board would recommend. At a 20% premium the IRR falls to 14%. A buyer can pay roughly 140p while a board would want 170p or more – no overlap. Businesses that work as buyouts are those where EBITDA approximates free cash flow; JSG's does not. A trade buyer such as Elis or Cintas could pay a full premium on route density and overhead synergies a financial buyer cannot claim, which is how consolidation in this industry occurs.

Method: built on a three-statement model from Capital IQ filings FY2021–FY2025, forecast FY2026–FY2030. Amortising debt schedule with cash sweep and circular interest on average balances. Simplifications: single debt tranche, no covenant modelling, no management equity, tax on levered cash flow.